Internal audit report

Introduction

This report was requested following client complaints about communications received from credit control department staff during the period January to April 20X4.

Objective

The credit control department is responsible for administering PVS's Healthcare Plan (Plan). The purpose of the review was to assess the effectiveness of the controls within the credit control department. The credit control department should ensure a balance between receiving client payments in a timely manner and keeping clients satisfied.

Main findings

1 The documented credit control procedures have not been updated for five years and there is no formal timetable for invoicing, sending reminders for amounts due, chasing unpaid amounts, passing overdue debts onto outside agencies for collection or taking legal action. These steps are taken on an irregular basis following ad-hoc reviews by the credit control department manager.

2 Client details held on the PVS servers, including sensitive financial information, are not protected. All staff can access the information once they have logged on to the PVS system.

3 Staff turnover in the credit control department is high. Temporary staff recruited to provide short-term support have been given insufficient training. They are setting up new clients on the Plan incorrectly and making mistakes in invoices they produce. Permanent staff are having to deal with angry clients, rectify the mistakes made and work extra hours to clear the ongoing backlog of work.

4 Our Plan provides vaccinations and routine treatments for a monthly fee and enables clients to defer the cost of expensive treatment. To join the Plan, clients complete a form with their personal and bank account details and immediately become members. They are not provided with any Plan documentation. Some of the terms of the Plan were amended earlier this year to improve PVS's cash flow and, for members joining after 1 March 20X4, payment for expensive treatments and procedures can only be deferred for one month (rather than three as was previously the case). But clinic reception staff continue to inform clients signing up to the Plan that payment can be deferred for three months as changes have not been communicated to reception staff.

5 Plan members who have not kept up their monthly direct debit payments and/or have not paid invoices by the payment deadline continue to be offered deferred payment of further invoices by reception staff.

Audit opinion

In our opinion, the controls within the credit control department are not effective.